| | | |
|---|---|---|
| Requirements of Rule 614 and Form CC | | |

Completion of the Initial Form CC: Number of Hours

| | Proposed Estimates | Adopted Estimates |
|---|---|---|
| Number of Hours Needed for Each Respondents to complete an Initial Form CC | 200[1399] | 200 |
| Number of Hours Needed for Each CC to Access EFFS | 0.3[1400] | 0.3 |
| | | |
| Total Number of Hours for Each Respondent to Complete Form CC and Access EFFS | 200.3[1401] | 200.3 |

Completion of the Initial Form CC: Total One-Time Initial Registration Burden

| | Proposed Estimates | Adopted Estimates |
|---|---|---|
| Total Burden Hours (Number of Respondents x Number of Hours to Complete Form CC and Access EFFS) | 8 Respondents x 200.3 Hours = 1,602.4 | 8 Respondents x 200.3 Hours = 1,602.4 |

1399 The Commission based this estimate on the number of hours necessary to complete Form SIP because Form CC was generally based on Form SIP and incorporated many of the provisions of Form SIP. The Commission estimated that completing Form SIP, which includes 20 exhibits, would take 400 hours. See Securities Exchange Act Release No. 63347 (Nov. 19, 2010), 75 FR 77306 (Dec. 10, 2010) ("The Commission calculated in 2008 that Form SIP takes 400 hours to complete."). Form CC includes nine exhibits, and the Commission estimates that completing proposed Form CC would take 200 hours, which is half the time for Form SIP.

1400 The Commission estimated that each competing consolidator would initially designate two individuals to access EFFS, with each application to access EFFS taking 0.15 hours for a total of 0.3 hours per competing consolidator.

1401 200 hours to complete an initial form CC + 0.3 hours to access EFFS = 200.3 hours.

| | | |
|---|---|---|
| Total Cost to Register All Respondents (Total Number of Hours x Hourly Rate)[1402] | 1,602.4 Hours x $467 = $748,320.80 | 1,602.4 Hours x $467 = $748,320.80 |

Completion of the Initial Form CC: Digital Signing of Form CC

| | Proposed Estimates | Adopted Estimates |
|---|---|---|
| Number of Individuals from Each Respondent Signing Form CC | 2 | 2 |
| Cost of Obtaining a Digital ID | $25 | $25 |
| Total Cost of Digitally Signing Form CC for All Respondents (Number of Signers x Cost of Digital ID x Number of Respondents) | 2 Signers x $25 x 8 Respondents = $400 | 2 Signers x $25 x 8 Respondents = $400 |

Completion of the Amendments to Form CC

| | Proposed Estimates | Adopted Estimates |
|---|---|---|
| Number of Amendments Expected to be Filed During First Year of Form CC Effectiveness[1403] | 2 | 2 |

1402 The Commission estimated that competing consolidators would, as a general matter, prepare Form CC internally and not use external service providers to complete the form. The Commission also stated that Form CC would likely be prepared by an attorney. The Commission based this estimate on the $467 hourly rate as of May 2019 for an assistant general counsel x 200.3 hours x 8 respondents. The Commission derived this estimate based on per hour figures from SIFMA's Management & Professional Earnings in the Securities Industry 2013, modified by Commission staff to account for an 1,800-hour work-year and inflation, and multiplied by 5.35 to account for bonuses, firm size, employee benefits, and overhead. Burden estimates may vary to the extent that competing consolidators utilize external service providers or outside counsel. The Commission preliminarily believed that competing consolidators would use in-house counsel and not use external service providers or outside counsel to file the Form CC.

1403 The Commission preliminarily estimated that competing consolidators would file two amendments—one Material Amendment and one Annual Report—during its first year after the effectiveness of its Form CC.

| | | |
|---|---|---|
| Total Estimated Number of Burden Hours per Amendment per Respondent | 6.0 | 6.0 |
| Total Cost Associated with Amendments During First Year of Form CC Effectiveness (Number of Amendments x Number of Hours per Amendment x Number of Respondents x Attorney Hourly Rate) | 2 Amendments x 6 Hours x 8 Respondents x $467 = $44,832 | 2 Amendments x 6 Hours x 8 Respondents x $467 = $44,832 |

**(i) Proposed Estimates – Initial Burden and Costs**

In the Proposing Release, the Commission preliminarily estimated the number of respondents who would be subject to the registration requirements of Rule 614 and Form CC (8), the number of hours for each to complete Form CC (200) and the number of hours for each to access EFFS (0.3). Based on these, the Commission estimated a one-time initial registration burden for all competing consolidators is approximately 1,602.4 burden hours and a total cost to register all competing consolidators would be $748,320.80.

In addition to this, the Commission estimated the total cost for respondents to obtain digital IDs to access EFFS for the purposes of signing the Form CC at approximately $400 for all respondents.

Finally, the Commission estimated the total burden of filing amending Form CC in the first year after effectiveness at a total of 96 hours (for a total cost of $44,832).

**(ii) Comments/Responses on Initial Burden and Costs**

One commenter stated that the "legal requirements would be overly burdensome and have little impact on the utility of … service to the marketplace" and requested the Commission

to reduce the legal cost burdens by adopting a formal regulated entity lite regime limited to 10 hours of legal work.[1404]

The Commission is not imposing a minimum level of costs, legal or otherwise, on competing consolidators. The estimates are those costs that the Commission believes that an entity may bear when registering as a competing consolidator. The Commission acknowledges that competing consolidators will have to bear certain regulatory and legal costs to be registered.

**(iii) Adopted Estimates – Initial Burden and Costs**

The Commission believes that, for reasons discussed above, the initial burden hour estimate included in the Proposing Release continues to be an appropriate estimate. The number of competing consolidators and the estimates do not need to be modified because the Commission is adjusting the total number of competing consolidators down from 12 to eight.[1405] Therefore, the initial burden hour estimates, which were calculated using eight competing consolidators, remains the same.

**(b) Ongoing Burden and Costs**

**(i) Proposed Estimates – Ongoing Burden and Costs**

Rule 614(a)(2) requires competing consolidators to amend Form CC prior to the implementation of material changes to pricing, connectivity, or products offered as well as annually to correct information that has become inaccurate or incomplete for any reason. These amendments represent the ongoing annual burdens of Form CC and proposed Rule 614(a)(2).[1406]

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1404 See ACTIV Financial Letter.

1405 See supra note 1394.

1406 In addition, on an ongoing basis, each competing consolidator may add one individual to access EFFS. For example, a competing consolidator may have to add an individual to

The Commission estimated that the ongoing annual burden for complying with the amendment requirements would be approximately 6.15 burden hours for each competing consolidator per amendment[1407] (for a total of $2,872.05), and approximately 49.2 burden hours for all competing consolidators per amendment (for a total of $22,976.40).[1408]

The Commission estimated that competing consolidators would have one Material Amendment per year and together with the Annual Report, the Commission estimated that respondents would be required to file on average a total of two amendments per year. The Commission estimated that each respondent would have an average annual burden of 12.3 hours (for a total of $5,744.10) for a total estimated average annual burden for all competing consolidators of 98.4 hours (for a total of $45,952.80).[1409] In addition, the Commission estimated that obtaining a digital ID for an individual who signs the Form CC would cost

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access EFFS to account for staffing changes. The Commission estimated that the ongoing burden would be 0.15 hours per competing consolidator.

1407 The Commission considered the hour burden estimates for Form SDR when estimating the hour burdens for amendments to Form CC. As noted in the Proposing Release, when Form SDR was adopted in 2015, the Commission estimated the hour burden for amendments to be roughly 3% of the initial burden. Securities Exchange Act Release No. 74246, supra note 1038, at 14522. In that release, the initial burden was calculated to be 400 hours per respondent and 12 hours per respondent for amendments. The Commission used a similar ratio to estimate the burdens for filers of Form CC because filers of Form SDR, like filers of Form CC, are required to file amendments annually as well as when certain information on Form SDR becomes inaccurate. Form SDR: General Instructions for Preparing and Filing Form SDR, available at https://www.sec.gov/about/forms/formsdr.pdf (last accessed Nov. 27, 2020). Thus, the Commission estimated that the annual burden of filing one amendment on Form CC will be 3% of the 200 hour initial burden, or 6 hours.

1408 See supra note 1402. As with the initial Form CC, the Commission believed the competing consolidators would conduct this work internally.

1409 See id.

approximately $25 each year or approximately $200 for all respondents. The Commission estimated that each respondent will have an average annual cost of $5,769.10 ($5,744.10 + $25), and for all respondents, a total estimated annual cost of $46,152.80 ($5,769.10 * 8).

Rule 614(a)(3) would require a competing consolidator that ceases to act as such to file an amendment to Form CC 90 calendar days prior to cessation of operations. The Commission described a competing consolidator's notice of cessation of acting as a competing consolidator on Form CC as substantially similar to its most recently filed Form CC, and therefore, since the form would already be complete, the burden would not be as great as the burden of filing an application for registration on Form CC. The Commission based its estimates for a notice of cessation on the estimates for filing an amendment on Form CC. The Commission estimated that the one-time burden of filing a Form CC notice of cessation would be approximately 2 burden hours (for a total of $934).[1410]

**(ii) Comments/Responses on Ongoing Burden and Costs**

One commenter stated that competing consolidators would amend their fees more than once a year.[1411] An amendment to competing consolidator fees would require an amendment to a competing consolidator's Form CC. The Commission has considered this comment and is amending its ongoing estimate that a competing consolidator will file five amendments a year, plus the annual report, for a total of six amendments per year. The Commission believes this estimate is reasonable based upon a review of amendments of the fee schedules of the SROs.

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1410 See id. The Commission estimated that no competing consolidators would cease operations in the first three years of the rule's effectiveness.

1411 See IDS Letter I at 15 ("In a truly competitive market, competing consolidators would amend their fees more often than once a year, as they responded to market forces.").

**(iii)Adopted Estimates – Ongoing Burden and Costs**

The Commission is amending its ongoing burden hour estimate that a competing consolidator will file two amendments per year. Based on the comments received, the Commission now estimates that a competing consolidator will file six amendments per year.

The Commission preliminarily estimated that the annual burden of filing one amendment on Form CC would be six hours per competing consolidator. Since the Commission now estimates that a competing consolidator will file six amendments in a year, the Commission estimates that the annual burden hours incurred per competing consolidator to file six amendments per year would be 36 hours,[1412] for a total estimated average annual burden for all competing consolidators of 288 hours.[1413] The Commission is adopting its annual external cost estimates as proposed.[1414] Finally, the Commission is adopting the ongoing burden estimate for filing a notice of cessation on Form CC as proposed.

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1412 36 annual burden hours = [(6 annual burden hours per amendment) x (6 amendments per year)]. The Commission monetized this amount to be $16,812. The Commission based this estimate on the $467 hourly rate as of May 2019 for an assistant general counsel x 36 hours. The Commission derived this estimate based on per hour figures from SIFMA's Management & Professional Earnings in the Securities Industry 2013, modified by Commission staff to account for an 1,800-hour work-year and inflation, and multiplied by 5.35 to account for bonuses, firm size, employee benefits, and overhead.

1413 288 annual burden hours = [(6 annual burden hours per amendment) x (6 amendments per year) x (8 competing consolidators)]. The Commission monetized this amount to be $133,632. The Commission based this estimate on the $467 hourly rate as of May 2019 for an assistant general counsel x 36 hours x 8 competing consolidators. The Commission derived this estimate based on per hour figures from SIFMA's Management & Professional Earnings in the Securities Industry 2013, modified by Commission staff to account for an 1,800-hour work-year and inflation, and multiplied by 5.35 to account for bonuses, firm size, employee benefits, and overhead.

1414 See supra note 1394.

### 2. Competing Consolidators' Public Posting of Form CC

Rule 614(c) requires each competing consolidator to make public on its website a direct URL hyperlink to the Commission's website that contains each effective initial Form CC, order of ineffective initial Form CC, amendments to effective Form CCs, and notice of cessation (if applicable).

#### (a) Initial Burden and Costs

##### (i) Proposed Estimates – Initial Burden and Costs

In the Proposing Release, the Commission estimated an initial burden of 0.5 hours per competing consolidator to publicly post the Commission's direct URL hyperlink to its website upon filing of the initial Form CC,[1415] for an aggregate initial burden of approximately six hours for the competing consolidators to post publicly the direct URL hyperlink to the Commission's website on their own respective websites.[1416]

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[1415] The Commission based this estimate on a full-time Programmer Analyst spending approximately 0.5 hours to publicly post the URL hyperlink per competing consolidator. The Commission estimated the monetized initial burden for this requirement to be $120.50. The Commission derived this estimate based on per hour figures from SIFMA's Management & Professional Earnings in the Securities Industry 2013, modified by Commission staff to account for an 1,800-hour work-year and inflation, and multiplied by 5.35 to account for bonuses, firm size, employee benefits, and overhead: Programmer Analyst at $241 for 0.5 hours = 0.5 initial burden hours per competing consolidator and $120.50.

[1416] The Commission estimated the monetized initial aggregate burden for this requirement to be $1,446. The Commission derived this estimate based on per hour figures from SIFMA's Management & Professional Earnings in the Securities Industry 2013, modified by Commission staff to account for an 1,800-hour work-year and inflation, and multiplied by 5.35 to account for bonuses, firm size, employee benefits, and overhead: [(Programmer Analyst at $241 for 0.5 hours) x (12 competing consolidators)] = 6 initial burden hours across the competing consolidators and $1,446.

**(ii) Comments/Responses on Initial Burden and Costs**

The Commission did not receive any comments on its initial burden hour estimate for the competing consolidators to publicly post the direct URL hyperlink to the Commission's website on their own respective websites.

**(iii)Adopted Estimates – Initial Burden and Costs**

The Commission is adopting the initial burden hour per competing consolidator estimate as proposed without any changes. However, the Commission is revising its aggregate initial burden hour estimate. As discussed above, eight competing consolidators would be required to file amendments to effective Form CCs. The Commission now estimates an aggregate initial burden of approximately four hours for the competing consolidators to publicly post the direct URL hyperlink to the Commission's website on their own respective websites.[1417]

**(b) Ongoing Burden and Costs**

**(i) Proposed Estimates – Ongoing Burden and Costs**

For the ongoing burden and costs, the Commission estimated that each competing consolidator would check the Commission's website whenever it files amendments to effective Form CCs to ensure that the Commission's direct URL hyperlink that the competing consolidator has posted to its own website remains valid. Further, the Commission estimated

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[1417] The Commission estimated the monetized initial aggregate burden for this requirement to be $964. The Commission derived this estimate based on per hour figures from SIFMA's Management & Professional Earnings in the Securities Industry 2013, modified by Commission staff to account for an 1,800-hour work-year and inflation, and multiplied by 5.35 to account for bonuses, firm size, employee benefits, and overhead: [(Programmer Analyst at $241 for 0.5 hours) x (8 competing consolidators)] = 4 initial burden hours across the competing consolidators and $964.

that a competing consolidator will file two amendments per year, which would result in each competing consolidator incurring an ongoing burden of 0.25 hours per amendment, or 0.5 hours per year, to ensure that it has posted the correct direct URL hyperlink to the Commission's website on its own website,[1418] for an aggregate annual burden of approximately six hours for the competing consolidators to do so.[1419]

**(ii) Comments/Responses on Ongoing Burden and Costs**

As discussed above, one commenter stated that competing consolidators would amend their fees more than once a year.[1420] An amendment to fees would require an amendment to a

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1418 The Commission based this estimate on a full-time Programmer Analyst spending approximately 0.25 hours to check the Commission's website when the competing consolidator submits an amendment to effective Form CCs to ensure that the Commission's direct URL hyperlink that the competing consolidator has posted to its own website remains valid. Since the Commission estimated that a competing consolidator would file two amendments per year, the Commission estimated that each competing consolidator would incur a burden of 0.5 hours per year. [(0.25 hours) x (2 amendments per year)] = 0.5 hours per year to check the URL hyperlink. The Commission estimated the monetized annual burden for this requirement to be $120.50. The Commission derived this estimate based on per hour figures from SIFMA's Management & Professional Earnings in the Securities Industry 2013, modified by Commission staff to account for an 1,800-hour work-year and inflation, and multiplied by 5.35 to account for bonuses, firm size, employee benefits, and overhead: Programmer Analyst at $241 for 0.5 hours = 0.5 annual burden hours per competing consolidator and $120.50.

1419 The Commission estimated the monetized aggregate annual burden for this requirement to be $1,446.00. The Commission derived this estimate based on per hour figures from SIFMA's Management & Professional Earnings in the Securities Industry 2013, modified by Commission staff to account for an 1,800-hour work-year and inflation, and multiplied by 5.35 to account for bonuses, firm size, employee benefits, and overhead: [(Programmer Analyst at $241 for 0.5 hours) x (12 competing consolidators)] = 6 annual burden hours across the competing consolidators and $1,446.00.

1420 Specifically, the commenter stated, "In a truly competitive market, competing consolidators would amend their fees more often than once a year, as they responded to market forces." IDS Letter I at 15.